

Comments on *The morning after* by Turing & Singh The 9th EMF, 2018

Ajay Shah
NIPFP

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- In the 2008 crisis, exchange-traded derivatives worked great
- So we thought “Wow, clearing houses!”
- A great new development in derivatives infrastructure is cleared OTC derivatives
- This is less good than meets the eye.

- Carefully think through what happens when there is a major default
- Focus on demand for 'high quality liquid assets'
- In a simple calculation, there will be a doubling of HQLA demand
- This is an important question and the methods are illuminating
- This envisioned-doubling is containable.

- In mature markets, systemic risk is about occasional market malfunction
- In the typical EM, market malfunction happens regularly
- The market is not resilient.
- We regularly drop into liquidity black holes.
- It is hard to sell assets, it is hard to repo assets.
- Modest surges in demand for a particular asset could create difficulties.

OTC derivatives clearing

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- Peculiar turf problems.

- We in India were pioneers in doing cleared derivatives at CCIL
- Peculiar turf problems.
- It is more fragile than meets the eye:
 - ① Model risk that goes with managed exchange rates, interest rates, within the regime.
 - ② The underlying markets are not liquid, so
 - The CC has little ability to close out positions on the market
 - The prices feeding into models are questionable
- NSCC has faced significant defaults, so we know their systems work, but at CCIL we have not yet experienced defaults.

Thank you.